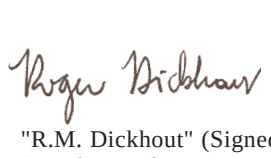
MANAGEMENT'S STATEMENT OF RESPONSIBILITY

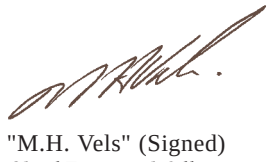
Management recognizes its responsibility for conducting the Company's affairs in the best interests of all its shareholders. The consolidated financial statements and related information in the annual report are the responsibility of management. The consolidated financial statements have been prepared in accordance with generally accepted accounting principles which involve the use of judgement and estimates in applying the accounting principles selected. Other financial information in the annual report is consistent with that in the consolidated financial statements.

The Company maintains systems of internal controls which are designed to provide reasonable assurance that accounting records are reliable and to safeguard the Company's assets. The Company's independent auditors, KPMG LLP, Chartered Accountants, have audited and reported on the Company's consolidated financial statements. Their opinion is based upon audits conducted by them in accordance with generally accepted auditing standards to obtain reasonable assurance that the consolidated financial statements are free of material misstatement.

The Audit Committee of the Board of Directors, all of whom are independent of the Company or any of its affiliates, meets periodically, with the independent external auditors, the internal auditors and management representatives to review the internal accounting controls, the consolidated quarterly and annual financial statements and other financial reporting matters. Both the internal and independent external auditors have unrestricted access to the Audit Committee. The Audit Committee reports its findings and makes recommendations to the Board of Directors.



"R.M. Dickhout" (Signed)
President and
Chief Executive Officer



"M.H. Vels" (Signed)
Chief Financial Officer

AUDITORS' REPORT

To the Shareholders of Canada Bread Company, Limited

We have audited the consolidated balance sheets of Canada Bread Company, Limited as at December 31, 1998 and December 27, 1997 and the consolidated statements of earnings, retained earnings and changes in financial position for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with generally accepted auditing standards. Those standards require that we plan and perform an audit to obtain reasonable assurance whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation.

In our opinion, these consolidated financial statements present fairly, in all material respects, the financial position of the Company as at December 31, 1998 and December 27, 1997 and the results of its operations and the changes in its financial position for the years then ended in accordance with generally accepted accounting principles.

Toronto, Canada,
February 25, 1999.



"KPMG LLP" (Signed) Chartered Accountants

CONSOLIDATED BALANCE SHEETS

(thousands of Canadian dollars) As at	**December 31, 1998**	December 27, 1997
ASSETS		
Current assets:		
Accounts receivable (note 3)	**$ 27,029**	$ 43,988
Due from related company (note 13)	**3,330**	6,299
Inventories	**13,599**	13,986
Prepaid expenses	**3,334**	3,798
Income taxes receivable	**3,874**	—
	51,166	68,071
Investment in associated company	**45,768**	45,123
Property and equipment (note 5)	**160,773**	165,768
Goodwill	**80,565**	78,609
	$ 338,272	$ 357,571
LIABILITIES AND SHAREHOLDERS' EQUITY		
Current liabilities:		
Bank indebtedness (note 6)	**$ 2,121**	$ 5,581
Accounts payable and accrued charges	**53,153**	57,991
Dividends payable	**1,285**	1,284
Income taxes payable	**—**	6,501
Current portion of long-term debt (note 6)	**76**	197
	56,635	71,554
Long-term debt (note 6)	**26,874**	30,872
Deferred income taxes	**24,121**	22,641
Minority interest	**106**	96
Shareholders' Equity (note 8)	**230,536**	232,408
	$ 338,272	$ 357,571

See accompanying notes to consolidated financial statements

On behalf of the Board:



"Roger Dickhout" (Signed) Director "John Bragg" (Signed) Director

CONSOLIDATED STATEMENTS OF EARNINGS

(thousands of Canadian dollars, except per share amounts) Years ended	**December 31, 1998**	December 27, 1997
Sales	**$ 508,445**	$ 515,364
Earnings from operations, before unusual items	**19,392**	36,366
Unusual items (note 4)	**(14,401)**	—
Earnings from operations	**4,991**	36,366
Other income (note 10)	**2,568**	12,631
Earnings before interest and taxes	**7,559**	48,997
Interest expense (note 6)	**2,181**	1,432
Earnings before income taxes	**5,378**	47,565
Income taxes (note 11)	**2,472**	16,420
Earnings before minority interest	**2,906**	31,145
Minority interest	**(10)**	(28)
Net earnings	**$ 2,896**	$ 31,117
Earnings per share (note 9)	**$ 0.14**	$ 1.46

See accompanying notes to consolidated financial statements

CONSOLIDATED STATEMENTS OF RETAINED EARNINGS

(thousands of Canadian dollars) Years ended	**December 31, 1998**	December 27, 1997
Retained earnings, beginning of year	**$ 195,813**	$ 169,827
Net earnings	**2,896**	31,117
Dividends declared	**5,138**	5,131
Retained earnings, end of year	**$ 193,571**	$ 195,813

See accompanying notes to consolidated financial statements

CONSOLIDATED STATEMENTS OF CHANGES IN FINANCIAL POSITION

(thousands of Canadian dollars) Years ended	**December 31, 1998**	December 27, 1997
OPERATING ACTIVITIES		
Net earnings for the year	**$ 2,896**	$ 31,117
Add (deduct) items not affecting cash:		
Depreciation	**14,773**	14,979
Amortization	**2,800**	2,321
Undistributed earnings of an associated company	**(645)**	(2,655)
Deferred income taxes	**4,554**	1,875
Minority interest	**10**	28
Gain on sale of business	**—**	(4,000)
Non-cash amounts included in unusual items	**4,495**	—
Changes in non-cash working capital	**4,048**	(6,172)
Cash provided from operating activities	**32,931**	37,493
FINANCING ACTIVITIES		
Dividends	**(5,137)**	(5,128)
Dividends paid to minority interest	**—**	(14)
Repayment of long-term debt (note 6)	**(4,140)**	(9,559)
Repayment of debt to Maple Leaf (note 6)	**—**	(3,531)
Issue of share capital (note 9)	**370**	964
Cash provided from (used in) financing activities	**(8,907)**	(17,268)
INVESTING ACTIVITIES		
Additions to property and equipment	**(14,376)**	(51,191)
Purchase of net assets of business (note 12)	**(6,188)**	—
Net proceeds on disposal of business (note 12)	**—**	30,176
Cash used in investing activities	**(20,564)**	(21,015)
Net increase (decrease) in cash during the year	**3,460**	(790)
Bank indebtedness, net of cash, beginning of year	**(5,581)**	(4,791)
Bank indebtedness, net of cash, end of year	**$ (2,121)**	$ (5,581)

See accompanying notes to consolidated financial statements

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

December 31, 1998 and December 27, 1997 (tabular amounts in thousands of dollars)

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or the "Company") and all of its subsidiaries operate in the bakery industry. Its principal business comprises the manufacture and sale of a variety of bakery and pasta products, including fresh bread and rolls, bagels and par-baked bread. In 1998, the fiscal year end of the Company was changed to December 31, 1998. Canada Bread is 68% owned by Maple Leaf Foods Inc. ("Maple Leaf").

2. SIGNIFICANT ACCOUNTING POLICIES

The following are the significant accounting policies of the Company:

The preparation of periodic financial statements necessarily involves the use of estimates and approximations. Should the underlying assumptions change, the actual amounts could differ from those estimated.

a) Principles of consolidation

The accompanying consolidated financial statements include the accounts of Canada Bread and its subsidiaries.

The Company owns a 25% interest in Multi-Marques Inc. of Quebec which is accounted for using the equity method.

b) Inventories

Inventories, consisting primarily of ingredients and supplies, are valued at the lower of cost and replacement cost, as determined using the first-in, first-out method.

c) Property and equipment

Property and equipment are recorded at cost including, where applicable, interest capitalized during the construction or development period. Depreciation is calculated using the straight-line basis at the following rates which is based on the expected useful life of the asset:

Buildings	2½% – 5%
Machinery and equipment	7½% – 33⅓%
Leasehold improvements	over the term of the lease

d) Goodwill

The excess of the purchase price over the estimated fair value of identifiable net assets acquired represents goodwill. Goodwill is amortized substantially over forty years on a straight-line basis. The Company annually reviews the carrying value of goodwill to determine if an impairment has occurred. The Company measures the potential impairment of goodwill by comparing the undiscounted value of expected future operating income before income taxes, interest and amortization of goodwill to the carrying value of goodwill. Any permanent impairment in the value of goodwill is written off against earnings.

e) Translation of foreign currencies

Monetary assets and liabilities denominated in foreign currencies are translated at year-end exchange rates; exchange gains and losses are recognized in current earnings.

f) Pension costs and obligations

The Company and its subsidiaries maintain defined benefit pension plans which provide retirement benefits for the employees. The market value of pension assets is determined using a five-year moving average basis. Pension obligations are determined by the Company's actuaries, using the accrued actuarial method and based on management's best estimate assumptions. Changes in the net value of pension assets or obligations arising from experience gains or losses, changes in assumptions and plan amendments and the net pension asset not previously recognized at the date the policy was implemented are amortized on a straight-line basis over the expected average remaining service life of the employee groups covered by the plans.

g) Financial instruments

The Company enters into hedging arrangements to manage its exposure to currency, commodity price and interest rate fluctuations. The gains and losses on these hedging instruments are recognized in the consolidated financial statements in the same period and are matched with the same financial statement category as the income or expense item to which the hedged position relates. Any accrued amounts receivable and payable under the terms of such contracts are included in accounts receivable and accounts payable, respectively.

h) Comparative figures

Certain comparative figures have been reclassified to conform with the financial statement presentation adopted in the current year.

3. ACCOUNTS RECEIVABLE

Under a revolving securitization program established on September 30, 1998 the Company has sold, with limited recourse, certain of its trade accounts receivable to a bank. At December 31, 1998, trade accounts receivable amounting to $10 million had been sold under this program.

4. UNUSUAL ITEMS

A charge of $14.4 million ($9.4 million, net of tax) was recorded in the first quarter of 1998 for the costs associated with writing down the carrying value of several operations designated for closure

and assets identified as non-core and the costs to complete a restructuring program. The bakery facilities at Winnipeg, Berwick and Montreal were closed during 1998. Included in the earnings charge is an amount of $0.3 million relating to the write-down of goodwill associated with the non-core operations.

At December 31, 1998, approximately $3.3 million of the earnings charge relating principally to severance and rationalization costs is included in accounts payable and accrued charges.

5. PROPERTY AND EQUIPMENT

	1998	1997
Cost		
Land	**$ 13,198**	$ 13,751
Buildings	**46,439**	42,520
Machinery and equipment	**176,156**	180,906
Construction in progress	**16,868**	13,728
	252,661	250,905
Accumulated depreciation		
Buildings	**12,570**	12,463
Machinery and equipment	**79,318**	72,674
	91,888	85,137
Net book value	**$ 160,773**	$ 165,768

6. FINANCING

Bank Indebtedness

The Company has demand operating facilities of $37 million for short term borrowing requirements which bear interest at short term rates. Drawings under these facilities were $2.1 million at December 31, 1998 (1997 – $5.6 million). Interest on short-term debt expensed during the year was $0.3 million (1997 – $0.1 million).

The unsecured loan from Maple Leaf was repaid on January 2, 1997 (note 12).

Long Term Debt

The Company has two 364-day revolving committed facilities with Canadian chartered banks, each for $20 million. These facilities are available through September 2001 and are extended annually at the lender's option. These facilities bear interest based on Banker's Acceptance rate for Canadian dollar loans and LIBOR for US dollar loans.

	1998	1997
Revolving term facility	**$ 26,600**	$ 30,600
Obligations under capital leases and other long-term debt	**350**	469
	26,950	31,069
Less current portion	**76**	197
	$ 26,874	$ 30,872

Interest on long-term debt expensed during the year was $1.9 million (1997 – $1.3 million).

7. FINANCIAL INSTRUMENTS

In the ordinary course of business, the Company enters into derivative financial instruments to manage underlying cash flow risks associated with foreign currency and interest rates. The Company does not use derivative financial instruments for trading or speculative purposes.

Foreign currency risk management

The Company uses forward contracts to manage its cash flow exposure to sales or purchases denominated in foreign currencies, primarily US dollars.

At December 31, 1998 the Company had outstanding commitments to sell forward US$10.2 million (1997 – US$22.7 million) to Maple Leaf. The Company has designated these contracts as a hedge of export sales in future fiscal periods as follows:

1999	US$ 3.0 million
2000	US$ 3.0 million
2001	US$ 3.0 million
2002	US$ 1.2 million

Based on the exchange rate at December 31, 1998, the Company would have incurred a loss of $1.1 million to settle these contracts. (1997 – loss of $0.3 million.)

Interest rate risk management

The Company uses interest rate conversion agreements ("swaps") to manage its exposure to interest rate fluctuations associated with the Company's debt balance. At December 31, 1998 the Company had one swap contract, with a notional amount of $21 million and a maturity date of June 10, 2008, in place with Maple Leaf. Under this swap contract, the Company pays 5.64% and receives the 90-day Banker's Acceptance rate on the notional amount.

The Company's blended average cost of borrowing for the year ended December 31, 1998 was 5.5% (1997 – 5.2%) after including the payments made under swap contracts in place in 1998.

Based on the market value of the swap contract at December 31, 1998, the Company would have incurred a loss of $0.6 million to terminate the contract (1997 – loss of $0.1 million). The market value of the swap contract was determined by obtaining a quote from a bank for a similar financial instrument.

8. SHAREHOLDERS' EQUITY

	1998	1997
Share capital	**$ 36,965**	$ 36,595
Retained earnings	**193,571**	195,813
	$ 230,536	$ 232,408

9. SHARE CAPITAL

Details of share transactions during the year are as follows:

	Unlimited Common Shares	
	Shares	Amount
Balance December 28, 1996	21,336,812	$ 35,631
1997 transactions:		
Issued for cash on exercise of options	56,000	964
Balance December 27, 1997	21,392,812	$ 36,595
1998 transactions:		
Issued for cash on exercise of options	24,000	370
Balance December 31, 1998	21,416,812	$ 36,965

The Board of Directors have approved the issue of stock options to certain members of the Company's management. Up to 940,000 shares may be issued under this plan. To date 637,000 options have been granted, all of which have been exercised or canceled. Options to purchase 303,000 shares remain available to be granted in the future.

No significant dilution of earnings per common share would have resulted had all shares under the plan been issued.

10. OTHER INCOME

	1998	1997
Earnings from an associated company	**$ 2,398**	$ 4,800
Gain on sale of property and equipment	**82**	480
Gain on sale of business	**—**	6,300
Other	**88**	1,051
	$ 2,568	$ 12,631

11. INCOME TAXES

A reconciliation comparing income taxes (on earnings before income taxes excluding equity earnings from an associated company) calculated at the statutory rates to the amount provided in the accompanying consolidated financial statements is as follows:

	1998			1997
	Total	**Special Charge**	**Excluding Special Charge**	
Combined statutory rates	**$ 2,412**	**$ (6,460)**	**$ 8,872**	$ 19,190
Increase (decrease) from:				
M & P credit	**(387)**	**1,036**	**(1,423)**	(2,675)
Non-taxable (gains) losses	**(133)**	**40**	**(173)**	(379)
Non-deductible goodwill amortization	**1,344**	**352**	**992**	739
Other	**(764)**	**54**	**(818)**	(455)
Total income taxes	**$ 2,472**	**$ (4,978)**	**$ 7,450**	$ 16,420
Represented by:				
Current income taxes	**$ (2,516)**		**$ 2,896**	$ 14,541
Deferred income taxes	**(2,462)**		**4,554**	1,879
	$ (4,978)		**$ 7,450**	$ 16,420

12. ACQUISITIONS AND DIVESTITURES

On November 7, 1998, the Company acquired the shares of Hamilton Baking Company (1998) Limited of Hamilton, Ontario.

The acquisition was accounted for by the purchase method with the results of operations being consolidated with those of the Company from the date of acquisition.

Details of the net assets acquired at assigned values are as follows:

	1998
Net working capital	$ (127)
Property and equipment	957
Goodwill	4,767
	5,597
Long term debt assumed	(21)
Deferred tax	612
Total consideration	$ 6,188

On January 2, 1997, the Company sold Brooklyn Bagel Boys, Inc. and its 80% partnership interest in its related financing company to Maple Leaf. Total proceeds of US$20.4 million (Cdn$27 million) was

received and resulted in a net after-tax gain on sale of $4 million. The sale price was determined by a valuation conducted by an independent valuator and was approved by a committee of independent members of the Board of Directors. In connection with this transaction, the loan from the Parent Company of $3.5 million outstanding at December 28, 1996 was repaid on January 2, 1997.

13. RELATED PARTY TRANSACTIONS

a) A significant portion of the Company's sales to the U.S. and other export markets are through related companies during the normal course of operations and have been recorded at the market amounts.

b) Maple Leaf provides the Company with certain management services including treasury, taxation, internal audit, accounting and access to bulk purchasing programs. Pursuant to a Management and Affiliation Agreement entered into in August 1995, the Company paid a management and affiliation fee of $3.4 million (1997 – $2.7 million) to Maple Leaf which approximates the cost of providing these services.

c) The Company entered into a Management Services Agreement with Maple Leaf Foods USA Inc. (Maple Leaf U.S.A.), whereby Maple Leaf U.S.A. administered and supervised the management of the Company's U.S. operations commencing January 1996. The cost of providing this service was included in the management and affiliation fee. Both agreements were approved by the independent members of the Board of Directors. Under this arrangement, sales of product in the U.S. that is manufactured in the Company's facilities are managed by Maple Leaf U.S.A. The sales value and profitability related to these sales are recorded in the Company's financial statements.

d) The Company receives certain information system services from Maple Leaf and is charged for direct costs incurred.

14. PENSION PLANS

The approximate present value of accrued pension benefits at December 31, 1998 was $50.3 million (1997 – $48.1 million). The net assets of these pension plans, at market related values, were approximately $62.3 million (1997 – $56.0 million).

15. COMMITMENTS AND CONTINGENCIES

The Company has operating lease commitments in respect of property and equipment used in operations which require minimum annual payments as follows:

1999	$ 8,389
2000	6,730
2001	4,135
2002	1,820
2003	1,609
Thereafter	1,306
	$ 23,989

In the normal course of business, the Company enters into sales commitments with various customers, and purchase commitments with various suppliers. These commitments are for varying terms, and can provide for fixed or variable prices. The Company believes these contracts serve to reduce risk, and it is not anticipated that losses will be incurred on these contracts.

16. YEAR 2000 ISSUE

The Year 2000 Issue arises because many computer systems use two digits rather than four to identify a year. Date sensitive systems may recognize the Year 2000 as 1900 or some other date, resulting in errors when information using Year 2000 dates is processed. The effects of the Year 2000 Issue may be experienced before, on, or after January 1, 2000, and, if not addressed, the impact on operations and financial reporting may range from minor errors to significant systems failure which could affect an entity's ability to conduct normal business operations. The Company has developed and is implementing a process involving a phased approach designed to mitigate the expected effects of the Year 2000 Issue on the Company. As at December 31, 1998 the identification and assessment phases of the Year 2000 process, which address the Year 2000 readiness of the Company's computer systems, and of third parties, such as customers, suppliers and others, was ongoing. The Company has commenced the remediation phase, which is intended to modify, retire or replace computer systems identified to date which are not Year 2000 ready. However, it is not possible to be certain that all aspects of the Year 2000 Issue affecting the Company, including those related to the efforts of customers, suppliers, or other third parties, will be fully resolved.